

Scottish Union and National Insurance Company's Act, 1956

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**CHAPTER lxxv**

An Act to repeal the Scottish Union and National Insurance Company's Acts 1878 to 1939 to confer powers on the Company with respect to the carrying on of its business and the regulation of its affairs and for other purposes. [5th July 1956.]

WHEREAS the Scottish Union and National Insurance Company (hereinafter called "the Company") was incorporated by the Scottish Union and National Insurance Company's Act 1878 and further powers were conferred upon the Company by the Scottish Union and National Insurance Company's Act 1886 the Scottish Union and National Insurance Company's Act 1892 the Scottish Union and National Insurance Company's Act 1906 and the Scottish Union and National Insurance Company's Act 1939 (hereinafter referred to as "the existing Acts"):

And whereas the authorised share capital of the Company is six million pounds and at the thirty-first day of December one thousand nine hundred and fifty-four the issued share capital of the Company consisted of five hundred and seventy-seven thousand three hundred and ninety-five "A" shares of ten pounds each of which one pound per share had been paid up and six thousand and twenty-eight "B" shares of five pounds each of which three pounds fifteen shillings per share had been paid up:

And whereas it is expedient that the Company should have power to increase from time to time the capital of the Company:

And whereas in order to facilitate the raising of further capital by the Company it is expedient that effect should be given to the capital reconstruction scheme set out in the Second Schedule

to this Act and that the powers contained in this Act with respect thereto and with respect to the raising of further capital should be conferred on the Company and on the directors thereof:

And whereas it is expedient in order to enable the Company to carry on its business to the best advantage and in accordance with present-day requirements that the existing Acts should be repealed and that such of the provisions of the existing Acts as are suitable to the present-day requirements of the Company should be re-enacted with such amendments as are appropriate and that the further powers contained in this Act should be conferred on the Company and on the directors thereof:

And whereas it is expedient to make further provision for the regulation and administration of the Company's affairs and the conduct of its business:

And whereas the purposes aforesaid cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the Queen's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

Short title.

1. This Act may be cited as the Scottish Union and National Insurance Company's Act 1956.

Interpretation.

2. In this Act and in the schedules to this Act unless the context otherwise requires the following words and expressions have the meanings hereby assigned to them (that is to say):—

“ auditor ” means the auditor of the Company continued in office in pursuance of this Act or the person or persons appointed and for the time being holding the office of auditor or auditors of the Company as the case may be ;

“ capital reconstruction scheme ” means the capital reconstruction scheme set out in the Second Schedule to this Act ;

“ Company ” means the Scottish Union and National Insurance Company ;

“ directors ” means the directors from time to time of the Company (but does not include local directors) ;

“ existing ” means existing immediately previous to the passing of this Act ;

“ existing Acts ” means the Scottish Union and National Insurance Company's Acts 1878 to 1939 ;

“ local boards ” means any board of local directors continued in office or appointed in pursuance of this Act ;

“local director” means a member of a local board or a local director continued in office or appointed in pursuance of this Act ;

“manager” means the person continued in office in pursuance of this Act or appointed and for the time being holding the office of general manager of the Company as the case may be ;

“policy” means any policy of insurance assurance or re-insurance endowment policy bond contract of annuity guarantee or like obligation issued by the Company ;

“policy holder” has the same meaning as in the Assurance Companies Acts 1909 to 1946 ;

“principal office” means the principal office for the time being of the Company ;

“regulations” means the regulations of the Company set out in the First Schedule to this Act as so set out or as altered or added to from time to time in pursuance of this Act ;

“secretary” means the person continued in office in pursuance of this Act or appointed and for the time being holding the office of secretary of the Company as the case may be and includes an assistant or deputy secretary and any person appointed by the directors to perform any of the duties of the secretary ;

“shareholders” means the shareholders from time to time of the Company ;

“trustees for the Company” means the persons or corporations continued in office in pursuance of this Act or appointed and for the time being holding office as trustees for the Company as the case may be.

3. The existing Acts are hereby repealed.

Repeal of
existing Acts.

4. Notwithstanding the provisions of the foregoing section of this Act—

Saving for
incorporation
of Company
etc.

(a) the Company shall remain incorporated by the name and designation of “the Scottish Union and National Insurance Company” as it was immediately before the passing of this Act ;

(b) the Company shall retain all existing assets and rights vested in it and shall be subject to all liabilities to which it was subject immediately before the passing of this Act save in so far as such rights or liabilities are inconsistent with the provisions of this Act ; and

(c) the policy holders of the Company shall retain all their existing rights subject to the existing liabilities attaching to their respective policies.

Power to hold
lands etc.

5. The Company shall have power for the purposes of this Act to acquire hold lease and dispose of land and other property in any manner in any part of the world.

Saving rights
of holders
of existing
shares.

6. Notwithstanding the repeal of the existing Acts the holders of the existing "A" shares and of the existing "B" shares of the Company shall on and from the passing of this Act and until the appointed day fixed by the directors in pursuance of the capital reconstruction scheme have the same rights and be subject to the same liabilities and obligations as they would have had and been subject to if this Act had not been passed and the existing Acts had not been repealed by this Act.

As to
application of
Companies
Clauses
Consolidation
(Scotland)
Act 1845.

7. Section 37 of the Companies Clauses Consolidation (Scotland) Act 1845 is incorporated with this Act but excepting as aforesaid the said Act and the Acts amending the same shall not apply to the Company or its undertaking.

Present
directors to
continue
in office.

8. The directors who shall be in office at the passing of this Act shall continue in office until they retire in rotation as provided by the regulations unless they shall sooner die vacate office or be removed from office.

Present local
directors
to continue
in office.

9. The local directors who shall be in office at the passing of this Act shall continue in office until the expiry of their various periods of office unless they shall sooner die resign or be removed from office.

Present trustees
to continue
in office.

10. The persons or corporations holding office as trustees at the passing of this Act shall continue in office as trustees for the Company as if appointed in pursuance of this Act and shall be subject to the like terms and conditions and to the like powers of removal and to the like restrictions and regulations in all respects as they were subject to immediately before the passing of this Act.

Present
auditor to
continue
in office.

11. The auditor who shall be in office at the passing of this Act shall continue in office until the first annual general meeting to be held thereafter unless he shall sooner die resign cease to be qualified or be removed from office.

Present officers
to continue
in office.

12. All officers and servants of the Company who shall be in office at the passing of this Act shall continue to hold and enjoy their respective offices and employments and shall have the like rights and shall be subject and liable to the like conditions obligations and penalties and to the like powers of removal and to the like rules restrictions and regulations in all respects as if they had been appointed under this Act.

13.—(1) The business of the Company shall be the making Business of effecting or guaranteeing of all kinds of insurance assurance or Company. reinsurance relating to lives persons property liabilities contracts or obligations or in respect of all contingencies and consequential losses liabilities or obligations or otherwise howsoever including the making of insurances assurances reinsurances or contracts of indemnity or guarantee against any loss liability or obligation arising directly or indirectly or in consequence of any event cause or contingency whatever.

(2) In addition and without prejudice to the foregoing the Company shall have power—

- (a) to grant annuities of all kinds and to issue capital redemption policies ;
- (b) to guarantee the principal of or the interest or dividends on shares stock debentures debenture stock mortgages bonds or other securities or obligations and to guarantee manufacturers and others against loss by bad debts and generally to guarantee against loss of income or profits however arising ;
- (c) to guarantee the validity of titles and other instruments and make and effect insurances against loss arising from the miscarriage or loss of or injury to titles and other instruments and securities in transit or otherwise ;
- (d) to give or concur in giving to any government or any government department or court bonds obligations or other guarantees or securities for the due performance or fulfilment by any person or persons or corporations of any duties or obligations whether imposed by or arising under any statute Act or legislation or ordinance licence contract decree order or otherwise for the due performance or fulfilment whereof such government or government department or court may require security to be given ;
- (e) to undertake and execute the office of trustee or executor of wills or settlements trustee of deeds securing debentures debenture stocks or other issues of securities or obligations of other companies agent factor curator guardian committee or any other office of trust or responsibility (with or without remuneration) and to undertake trusts of all kinds and the conduct of any business connected with trusts of every description or the estates of deceased persons and to receive money on deposit at interest or deeds securities or other documents or money or any personal chattels for safe custody with or without undertaking liability for any loss thereof or injury thereto and to undertake all kinds of agency business ;

- (f) to pay satisfy or compromise any claims made against the Company which it may be deemed expedient to pay satisfy or compromise whether or not the same may be valid in law ;
- (g) to apply any of the funds of the Company in buying up cancelling extinguishing or obtaining a release from any policy or contract ;
- (h) to guarantee or underwrite the subscription of any shares stock debentures debenture stock mortgages bonds or other securities or obligations ;
- (i) to grant remuneration for services rendered in placing or assisting to place any shares stock debentures debenture stock mortgages bonds or other securities or obligations of the Company ;
- (j) to manage develop sell lease mortgage or otherwise deal with any heritable or real or movable or personal property acquired or held by the Company whether absolutely or by way of security ;
- (k) to receive on deposit or loan at interest at rates determined from time to time by the directors any policy moneys payable by the Company or any other moneys ;
- (l) to borrow money and to issue debentures debenture stock bonds or other securities or obligations whether perpetual or redeemable and for the purpose of securing money borrowed or owing and the interest thereon or for securing any debt liability or obligation of the Company or of any third party or for any other purpose of the Company to mortgage or charge the whole or any part of its undertaking property and uncalled capital ;
- (m) to bring prosecute carry on defend or compromise in the name of the Company or any person association company or corporation any action petition or other legal proceeding civil or criminal or arbitration proceeding ;
- (n) to sell or dispose of the undertaking of the Company or any part thereof for such consideration as the Company shall think fit and in particular for shares stock debentures debenture stock or other securities or obligations of any other company having objects altogether or in part similar to those of the Company ;
- (o) to make and carry into effect contracts for amalgamating with or purchasing or taking over the whole or any part of the business or property of any company or society authorised to carry on any business which the Company is authorised to carry on or for undertaking and performing all or any of the contracts liabilities and engagements of any such company or society ;

- (p) to form or assist in forming any company and to purchase or otherwise acquire hold and dispose of shares or any other interest in any company carrying on any business which the Company is authorised to carry on and to undertake and perform all or any of the contracts liabilities and engagements of any such company and to guarantee the fulfilment of all or any of the contracts and obligations of any such company ;
- (q) to make donations and subscriptions to any object likely to promote the interests of the Company and to form manage and contribute to any superannuation or insurance fund or sick or benefit or thrift society or club connected directly or indirectly with the Company and to grant bonuses gratuities and pensions to directors or other officers of or other persons who are or have been employed by the Company or to the widows or children of such persons or others related to or dependent on them and to endow support establish and subscribe to any educational social or charitable institution or ^{society} calculated to be beneficial to such persons or any of them and to subscribe or guarantee money for charitable or benevolent objects or for any exhibition or for any public general or useful purpose ;
- (r) to carry on directly or indirectly any other business which may seem to the directors capable of being conveniently carried on in connection with or in addition to the above-mentioned businesses or calculated directly or indirectly to enhance the value of or render profitable any of the property rights or businesses for the time being of the Company ;
- (s) to acquire and undertake the whole or any part of the business property and liabilities of any person or company carrying on any business which the Company is authorised to carry on or possessed of property suitable for the purposes of the Company ;
- (t) to enter into partnership or into any arrangement for sharing profits or joint adventure with any person or company or society carrying on or about to carry on any business which the Company is authorised to carry on or any business capable of being conducted so as directly or indirectly to benefit the Company and to acquire or join in acquiring any such business and to amalgamate with any other company having objects altogether or in part similar to those of the Company ;
- (u) to pay for any business property or rights acquired or agreed to be acquired by the Company and generally to satisfy any obligations of the Company by the issue or transfer of shares of the Company or any other

company credited as fully paid or partly paid up or of debentures or other securities of the Company or any other company;

- (v) to promote or assist in or contract with any person or company for the promotion of any company for the purpose of acquiring all or any of the property and liabilities of the Company or of carrying on any business which the Company is authorised to carry on or for any other purpose directly or indirectly calculated to benefit the Company;
- (w) to promote support or otherwise obtain any Bills in Parliament or Provisional Orders or orders of the Board of Trade which may seem calculated directly or indirectly to benefit the Company or to oppose any such Bills Provisional Orders or orders which may seem calculated directly or indirectly to prejudice the interests of the Company and to defray out of the funds of the Company all expenses thereby incurred;
- (x) to do all such other matters and things as are conducive to the attainment of the above objects or ~~any~~ of them ~~or can conveniently be operated in association with~~ them.

(3) (a) The Company may transact all such business and exercise all such powers in any part of the world and may in any policies contracts or agreements which they may enter into make such special conditions limitations and provisions as they may see fit.

(b) The Company may do all such things as aforesaid through any corporations companies or persons as agents for the Company or do the same as agents for any corporations companies or persons.

Power to
appoint
trustees for
Company.

14. The directors may from time to time appoint such persons or corporations as they think fit resident or formed as the case may be in any part of the world to be trustees for the Company and may cause any property of the Company to be vested in any three or more of such persons if individuals or in any such corporation and any securities to be taken in the names of such trustees with such powers and on such terms as the directors may think fit and the directors may from time to time revoke any such appointment.

Regulations of
Company.

15. The regulations of the Company shall be as set forth in the First Schedule to this Act and the Company may at any time by special resolution as defined by this Act alter or add to any of such regulations and any alteration or addition so made shall be as valid as if originally contained in such regulations and be subject in like manner to alteration by special resolution and so from time to time.

16. For the purposes of this Act a special resolution is a Special resolution passed by a majority of not less than three-fourths resolution. of the votes recorded by the shareholders voting in person or by proxy at a general meeting of which not less than twenty-one days' notice specifying the intention to propose the resolution as a special resolution has been duly given.

17. The principal office of the Company shall be in Scotland Principal office and unless the directors otherwise decide all general meetings of office and the Company whether annual or extraordinary shall be held in place of Edinburgh. meetings.

18.—(1) The paid-up capital and funds of the Company so Investment of far as they are not required to satisfy the immediate claims on capital and funds. and expenses of the Company may be laid out and invested by the directors in the name or under the control of the Company or in name of corporate or personal trustees to be appointed by the directors for behoof of the Company in or upon any investment whether in bearer form or otherwise which the directors may decide and particularly any investments for the time being authorised by law either in Scotland or in England or elsewhere for the investment of trust funds or in or upon any of the following investments in the United Kingdom or elsewhere or may be lent out by the directors upon the security thereof or applied in the purchase of options therefor namely:—

- (i) lands of any tenure or any estate or interest therein ;
- (ii) any ships or aircraft or other transportation vehicles whether of British registry or not ;
- (iii) the stocks funds bonds annuities or other securities of or guaranteed by the government of any country state or province ;
- (iv) the stocks funds bonds debentures debenture stock loan stock mortgages assignments annuities or other securities of or guaranteed by any county municipal or other public corporation public commissioners board public trust or other public body or local authority having power to levy rates dues or assessments and to borrow or raise money ;
- (v) the stocks funds bonds debentures debenture stock loan stock mortgages assignments annuities or other securities of any public corporation public commissioners board public trust or other public body having power to make charges for the supply of goods or services and to borrow or raise money ;
- (vi) the bonds debentures debenture stock loan stock mortgages assignments or other securities or the guaranteed or preference or preferred or ordinary or deferred or common shares or stock whether fully paid or not and

whether having a par value or not of any society company trust corporation board bank insurance company or undertaking ;

- (vii) any policy of the Company or of any other assurance office ;
- (viii) any vested or contingent life or reversionary or other estate or interest in trust funds or estate or in securities or investments which the Company is authorised to hold or any such estate or interest in any sum or sums of money secured upon any such funds securities or investments ;
- (ix) any feu-duties ground annuals ground rents head rents chief rents or rentcharges arising out of or charged on lands ;
- (x) any personal security with the joint and several obligation of one co-obligant ;
- (xi) on deposit on such terms as the directors may think proper and whether temporarily or for any length of time with any public body corporation commissioners board trust or local authority or any banking discount or hire-purchase company or building society or other financial or industrial or commercial institution authorised to take money on deposit.

(2) In addition and without prejudice to the foregoing the directors may and are hereby empowered from time to time to lay out and invest the paid-up capital and funds of the Company (so far as not required as aforesaid) in or upon any investments or securities of any class or description whatsoever either by way of purchase or loan which shall be authorised by a special resolution in force for the time being.

(3) The directors may at their discretion alter change sell or dispose of any existing investments or any investments which may hereafter be acquired and may again lay out and invest the proceeds thereof from time to time in or upon any investments hereby authorised.

Capital of
Company.

19. Unless and until the capital of the Company is increased pursuant to a resolution of the Company under the provisions of section 28 (Company may increase capital) of this Act the authorised capital of the Company shall be six million pounds or other the authorised capital of the Company immediately before the passing of this Act.

Capital
reconstruction
scheme
sanctioned.

20. The capital reconstruction scheme is hereby sanctioned.

21. Subject to the provisions of section 30 (Variation of rights of shares) of this Act the new "A" shares and the new ordinary shares in the capital of the Company as the same will be constituted upon the capital reconstruction scheme becoming effective shall rank in all respects *pari passu* with each other in proportion to the amount for the time being paid up on them respectively and the holders of the new "A" shares and of the new ordinary shares respectively shall be entitled to dividends thereon at the same rate per centum on the amounts respectively paid up thereon without any preference or priority.

22. The shares of the Company and the profits thereof shall be movable or personal estate and transmissible as such.

Shares to be
personal
estate.

23. All shares which in accordance with the provisions of this Act shall be vested in or issued to the holders of the "A" shares or of the "B" shares outstanding at the appointed day specified in the capital reconstruction scheme shall be held in the same rights upon the same trusts and subject to the same powers provisions charges and liabilities as those in upon or subject to which such outstanding "A" shares and "B" shares were held immediately before the said day and shall be dealt with applied and disposed of accordingly and so as to give effect to and not to revoke any deed will or other instrument disposing of or affecting the same and trustees executors administrators and all other holders in any representative or fiduciary capacity and persons under disability may and shall accept the shares which under the provisions of this Act shall be vested in or issued to them respectively in substitution for any such outstanding "A" shares or "B" shares held by them and may subject to the provisions of this Act retain dispose of or otherwise deal with the same as fully and freely in all respects as they might have retained disposed of or otherwise dealt with such outstanding "A" shares or "B" shares.

Shares to be
held on same
trusts etc. as
existing shares.

24. Where any person is or shall become entitled to a fractional part of a share in the Company the directors may (without prejudice to the provisions of paragraph 8 of the capital reconstruction scheme) at any time require such person to transfer to the Company such fractional part of a share at the market price of the day and save as aforesaid no transfer of a fractional part of a share shall be made in the books of the Company.

Provision for
holdings of
fractional
parts of a
share.

25.—(1) Subject to such rights as may belong to the participating policy holders and subject to any preferred deferred or other special rights or restrictions attached to any class or classes of shares under the provisions of section 28 (Company may increase capital) of this Act such part of the clear profits of the business of the Company as the directors shall from time to

Dividends and
reserve funds.

time determine shall be divided among the shareholders in proportion to the amount of paid-up capital held by them respectively in such manner and at such periods as shall be fixed by the directors and the directors may set aside from the profits such sum as they think proper as a reserve fund or reserve funds:

Provided that if any profits shall be divided or carried to a reserve fund under this section the same shall be subject to the approval of a general meeting of the Company.

(2) Notwithstanding the foregoing provisions of this section the directors without such approval may from time to time pay interim dividends of such amounts and on such dates as they think fit and may also pay dividends on any class of shares carrying a fixed cumulative preference dividend on the dates prescribed for the payment thereof by the terms of issue of such shares.

Conversion of undivided profits into capital etc.

26. The Company in general meeting may upon the recommendation of the directors resolve that it is desirable to capitalise any part of the amount for the time being standing to the credit of any of the reserve funds of the Company or to the credit of the profit and loss account and accordingly that such sum be set free for distribution amongst the shareholders who would have been entitled thereto if distributed by way of dividend and in the same proportions or (subject to the provisions of section 30 (Variation of rights of shares) of this Act) amongst one or more class or classes of such shareholders and in such proportions as the Company in general meeting may resolve on condition that the same be not paid in cash but be applied either in or towards paying up any amounts for the time being unpaid on any shares held by such shareholders respectively or paying up in full unissued shares of the Company to be allotted and distributed credited as fully paid up to and amongst such shareholders in the proportion aforesaid or partly in the one way and partly in the other and the directors shall give effect to such resolution:

Provided that any share premium account and any capital redemption reserve fund and any other reserve fund not capable of being distributed by way of dividend may for the purposes of this section be applied only in the paying up of unissued shares to be issued to shareholders of the Company as fully paid bonus shares.

Powers of directors as to capitalisation of profits.

27. Whenever such a resolution as is referred to in the immediately preceding section has been passed the directors shall make all appropriations and applications of the sum resolved to be capitalised thereby and all allotments and issues of fully paid shares and generally shall do all acts and things required to give effect thereto and may make such provision by the issue

of fractional certificates or by payment in cash or otherwise as they think fit for the case of shares becoming distributable in fractions.

28.—(1) The Company in general meeting may from time to time resolve to increase the capital of the Company by such sum to be divided into shares of such amount as the resolution shall prescribe. Company may increase capital.

(2) The period within which the Company shall deliver to the Commissioners of Inland Revenue the statement of the amount of any increase of nominal capital required by section 113 of the Stamp Act 1891 shall be one month after the date of any resolution whereby the capital of the Company is increased.

(3) Without prejudice to any special rights previously conferred on the holders of any shares or class of shares any share in the Company may be issued with such preferred deferred or other special rights or such restrictions whether in regard to dividend voting return of capital or otherwise as the Company in general meeting may from time to time determine or failing such determination as the directors may decide.

(4) Subject to the foregoing provisions of this section and to any direction given by the Company in general meeting the shares in the capital of the Company for the time being unissued shall be at the disposal of the directors and they may allot grant options over or otherwise dispose of them to such persons at such times and on such terms and conditions and at such premium or otherwise as they think proper.

29.—(1) Subject to the provisions of this section any preference shares may with the sanction of a special resolution of the Company be issued on the terms that they are or at the option of the Company are liable to be redeemed on such terms and in such manner as the Company before the issue of the shares may by special resolution determine: Power to issue redeemable preference shares.

Provided that—

(a) no such shares shall be redeemed except out of profits of the Company which would otherwise be available for dividend or out of the proceeds of a fresh issue of shares made for the purposes of the redemption;

(b) no such shares shall be redeemed unless they are fully paid;

(c) the premium if any payable on redemption must have been provided for out of the profits of the Company or out of the Company's share premium account before the shares are redeemed;

(d) where any such shares are redeemed otherwise than out of the proceeds of a fresh issue there shall out of profits which would otherwise have been available for dividend be transferred to a reserve fund to be called "the capital redemption reserve fund" a sum equal to the nominal amount of the shares redeemed.

(2) The redemption of preference shares under this section shall not be taken as reducing the amount of the authorised share capital of the Company.

(3) Where in pursuance of this section the Company has redeemed or is about to redeem any preference shares the Company may issue shares up to the nominal amount of the shares redeemed or to be redeemed as if those shares had never been issued and accordingly the share capital of the Company shall not for the purposes of any enactments relating to stamp duty be deemed to be increased by the issue of shares in pursuance of this subsection:

Provided that where new shares are issued before the redemption of the old shares the new shares shall not so far as relates to stamp duty be deemed to have been issued in pursuance of this subsection unless the old shares are redeemed within one month after the issue of the new shares.

Variation
of rights
of shares.

30.—(1) The rights attached or belonging to any class of shares (unless otherwise provided by the terms of issue of the shares of that class) may be varied with the consent in writing of the holders of three-fourths of the issued shares of that class or with the sanction of an extraordinary resolution passed at a separate general meeting of the holders of the shares of the class. To every such separate general meeting the provisions of the regulations relating to general meetings shall mutatis mutandis apply but so that the necessary quorum shall be not less than two persons holding or representing by proxy at least one-third of the issued shares of the class and that any holder of shares of the class present in person or by proxy may demand a poll.

(2) The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not unless expressly provided by the terms of issue of the shares of that class be deemed to be varied by the creation or issue of further shares ranking *pari passu* therewith.

(3) For the purposes of this section an extraordinary resolution means a resolution passed by a majority of not less than three-fourths of the votes recorded by the shareholders holding shares of the class voting in person or by proxy at a separate general meeting of such shareholders of which not less than fourteen days' notice specifying the intention to propose the resolution as an extraordinary resolution has been duly given.

31. The Company may by resolution in general meeting—

(a) consolidate and divide all or any of its share capital into shares of larger amount ;

Power to
consolidate
or subdivide
shares.

(b) subdivide its shares or any of them into shares of smaller amount so however that in the subdivision the proportion between the amount paid and the amount (if any) unpaid on each reduced share shall be the same as it was in the case of the share from which the reduced share is derived.

32.—(1) The books of the Company shall be balanced on the thirty-first day of December in each year or on such other day as the directors may determine.

Accounts and
quinquennial
investigations.

(2) An investigation pursuant to the Assurance Companies Acts 1909 to 1946 and any Acts amending the same shall be made into the affairs of the Company once every five years or at such other intervals not exceeding five years as the directors may fix.

(3) The first investigation to be made after the passing of this Act shall be made as at the thirty-first day of December one thousand nine hundred and sixty or as at such earlier date as the directors may determine but the directors may before the said date or any such earlier date make intermediate investiga-

33. The auditor of the Company shall be appointed and his duties regulated in accordance with sections 159 to 162 of the Companies Act 1948 or in accordance with the said sections as the same may be extended amended or varied by any subsequent enactment.

34. The directors may determine from time to time what proportion of the whole expenses of the Company shall be charged against each of the several branches of its business respectively.

35. Any shareholder or policy holder or other person interested in the Company shall either alone or jointly with any other person be liable to be sued and proceeded against by or for the benefit of the Company and shall be entitled to sue and take proceedings against the Company under the provisions of this Act.

36. If any person against whom the Company has any claim or demand becomes bankrupt or submits his affairs to liquidation for the benefit of his creditors the manager or the secretary or any person authorised in writing either generally or specially by either of them may represent the Company in all proceedings against the estate of such bankrupt or insolvent or in any

sequestration adjudication of bankruptcy process of cessio bonorum trust or act of insolvency against such bankrupt or insolvent and may make affidavit or declaration and vote and otherwise act on behalf of the Company in all respects as if such claim or demand had been the claim or demand of the manager secretary or other person.

Execution
of transfers
assignments
and discharges.

37. All transfers of shares and all assignments and discharges of policies of the Company shall be valid and effectual if executed according to the form of the law of Scotland or of England or partly according to one and partly according to the other or according to the form usual in the places where the parties reside at the time. Provided that all such transfers shall be in accordance with the provisions of this Act.

Transmission
of right to
policies
through death
bankruptcy etc.

38. If the interest in any policy shall become transmitted on the death or in consequence of the bankruptcy or insolvency of any policy holder or by any other lawful means than by a transfer then evidence of the title satisfactory to the directors shall be produced to the manager secretary or other officer of the Company and shall if required be authenticated by a statutory declaration and thereupon the manager secretary or other officer of the Company shall record the fact in the Company's books but nothing in this section shall preclude the Company from causing the title of any claimant to be proved or declared by the judge or judges of the Court of Session or by the competent jurisdiction in Scotland England or Northern Ireland.

Effect of
assignments to
Company
by way of
security.

39. No assignment to the Company whether dated before or after the passing of this Act by way of security for money borrowed on any policy granted by the Company shall be deemed to extinguish any obligation of the Company for payment of the sums assured under such policy but the said policy and any such assignment thereof shall during the periods for which they are respectively granted have full force and effect according to the respective terms thereof.

Provision as to
life insurance
policies and
annuity
transactions.

40. All policies of insurance on life and all annuity transactions effected by the Company shall be kept in a separate account or in separate accounts and the directors may from time to time determine what portion of the profits arising on such accounts respectively shall be distributed and among what body or bodies of policy holders and what portion shall be reserved for future distribution and they may also determine the times at which and the principles manner and conditions on which such distributions may be made and they may vary the same from time to time. All such profits not so distributed or reserved shall be carried to the credit of the general profit and loss account of the Company.

41.—(1) Notwithstanding anything contained in the provisional agreement between the Company and the former City of Glasgow Life Assurance Company dated the fifth and sixth days of March and the addendum thereto dated the ninth day of May all in the year one thousand nine hundred and thirteen the directors may when and so soon as the total net liability of the Company on the separate account kept for the benefit of the policy holders and annuitants of the former City of Glasgow Life Assurance Company shall at any valuation made in accordance with the said agreement and addendum be reduced to a sum less than two hundred thousand pounds close the said separate account and merge the life assurance and annuity fund and the liabilities of the former City of Glasgow Life Assurance Company in the general life funds and the life liabilities of the Company.

As to existing life assurance and annuity fund of former City of Glasgow Life Assurance Company.

(2) The power conferred by this section shall not be exercised except with the approval of the majority in number and amount assured (including bonus additions) of such of the policy holders and also in number and amount payable per annum of such of the annuitants of the former City of Glasgow Life Assurance Company as may be surviving at the date of the proposed merging.

42.—(1) Where any sum is payable by the Company in respect of any policy the Company may pay such sum to any person tendering a receipt (either endorsed on or separate from the policy) signed by the person entitled to receive such sum and such receipt shall be in such form as may be approved by the directors.

Discharge of sums payable under policies.

(2) The directors may if they think fit pay such sum under discount or otherwise before it becomes payable in terms of the policy.

(3) Where any sum is payable by the Company in respect of a policy of life assurance to the legal representatives of any policy holder who has died domiciled elsewhere than in the United Kingdom the directors may if they think fit pay such sum to such legal representatives on production at the office of the Company where such sum is payable of the confirmation or probate of the will of such person deceased or letters of administration or other grant of representation of his estate whether obtained in the United Kingdom or in the country in which such person has died domiciled or on production of other evidence satisfactory to the directors that the persons claiming such sum are the legal representatives of such person deceased and that in whatsoever country such policy may have been issued or such sum may be payable or such person deceased may have been domiciled.

(4) Any such receipt shall be a complete and sufficient discharge to the Company and the Company shall not be bound to see to the application of the money paid on such receipt.

Power of
Company at
death or
resignation of
manager etc.

43. In the event of the death or vacation of office or removal of any director or of any manager or other officer or of any trustee or other person in favour of whom either solely or along with any other or others and either jointly with the Company or otherwise any grant of annuity reversion postponed sum of money or postponed right or any lands feu-duties ground annuals ground rents tenements hereditaments or other heritable or real property or any heritable bond bond and disposition in security mortgage bond or instrument of caution or of security policy of insurance on life bond of annuity assignation transfer or other instrument or writing whatsoever has been taken in any manner for the use or benefit of the Company then and in any such case from and after the time of such death vacation of office or removal the Company may in its corporate name and without the concurrence of such director manager other officer trustee or other person or persons or their heirs executors or administrators effectually release assign dispone convey transfer or otherwise dispose of or deal with the same and in any such case any release assignment disposition conveyance transfer or other deed or writing whatsoever executed by the Company in its corporate name shall be effectual to all intents and purposes and in all such cases the Company shall be entitled under its corporate name and without the concurrence of such director manager other officer trustee or other person or persons or of their heirs executors or administrators validly to bring and prosecute any action or other legal proceeding and all manner of diligence for making effectual any such grant of annuity reversion postponed sum or right or any such lands feu-duties ground annuals ground rents tenements hereditaments or other heritable or real property or any such heritable bond bond and disposition in security mortgage transfer or other instrument or writing whatsoever or for the recovery of any sum or sums of money therein contained or thereby due or anywise relating thereto.

Protection of
Company as
to trusts.

44.—(1) The Company shall not be bound to see to the execution of any trust whether express implied or constructive to which any shares in the Company may be subject and the receipt of the person in whose name any such shares may stand in the books of the Company or if they stand in the names of more persons than one the receipt of any one of such persons shall be a sufficient discharge to the Company for any dividend or other sum of money payable in respect of such shares notwithstanding any trust to which such shares may then be subject and whether or not the Company have had notice of such trust

and the Company shall not be bound to see to the application of the money paid upon such receipt.

(2) Where any policy issued by the Company is subject to any trust whatsoever the receipt of the trustees or the survivor of them shall notwithstanding any equitable claim of the person or persons beneficially entitled thereto be a sufficient discharge for the money which may become payable by the Company in respect of such policy and the Company shall not be bound to see to the application of the money paid upon such receipt.

45. A condition made by the Company in or under any policy for the determination or settlement of any question by arbitration shall not be void on the ground that the name or names of the arbiter or arbiters is or are not specified in the policy. Arbitration under policies.

46. The Company shall be amenable to the jurisdiction of the Supreme Courts of Judicature in England and in Northern Ireland respectively in reference to any policies or other engagements entered into with parties described therein as of any place in England or Northern Ireland respectively in like manner as if the domicile of the Company were in England or Northern Ireland respectively and any judgment rule decree or order of the Supreme Court in England or in Northern Ireland respectively made or pronounced against or in favour of the Company in such cases shall have the same effect and operation against or in favour of the Company as if the Company were domiciled in England or Northern Ireland respectively. Company to be amenable to jurisdiction of supreme courts in England and Northern Ireland.

47. Nothing in this Act shall be deemed to exempt the Company from the provisions of the Assurance Companies Acts 1909 to 1946 or from the provisions of any general Act passed during the present or any future session of Parliament affecting assurance companies formed previously to the passing thereof. General Acts to apply.

48. All costs charges and expenses of and incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company. Costs of Act.

SCHEDULES

FIRST SCHEDULE

REGULATIONS OF THE COMPANY

1. In these regulations unless there be something in the subject or context inconsistent therewith—

“the Act” means the Scottish Union and National Insurance Company's Act 1956 ;

“paid” includes credited or taken to be paid.

SHAREHOLDERS

2.—(1) The Company shall provide a book to be called the “register of shareholders” in which the secretary shall from time to time enter the names and addresses of the several shareholders and the number of the shares of each class held by each shareholder and the amount paid thereon and such register shall be prima facie evidence of any matters directed or authorised by these regulations to be inserted therein.

(2) Every person whose name shall have been duly entered in the register of shareholders shall be deemed to be a shareholder and shall be entitled to all the privileges belonging to and be liable to all the obligations incumbent on a shareholder.

CERTIFICATES OF SHARES

3.—(1) The certificate of title to shares shall be in such form as shall from time to time be prescribed by the directors and each certificate shall specify the name and address of the holder and the number and class of the shares in respect of which it is issued and the amount paid thereon and each certificate shall be signed by the secretary or such other officer of the Company as the directors may from time to time direct.

(2) Each shareholder shall without payment be entitled to one certificate for all the shares of each class registered in his name or with the consent of the directors and on such terms as they may impose to several certificates each for one or more of such shares.

(3) When two or more persons are registered as joint holders of a share the directors shall only be bound to issue one certificate in respect of such share and delivery of such certificate to any one of such persons shall be deemed to be sufficient delivery to all.

(4) A certificate shall be admitted in all courts as prima facie evidence of the title of the shareholder named therein to the shares therein specified.

(5) Upon a transfer of shares the certificate for such shares shall be delivered up to be cancelled unless the directors dispense with the delivery thereof.

(6) If a share certificate be defaced lost or destroyed it may be renewed on payment of a fee of one shilling or such less sum and on such terms (if any) as to evidence and indemnity and the payment of out-of-pocket expenses of the Company of investigating evidence as the directors think fit.

LIEN

1ST SCH.
—cont.

4. The Company shall have a first and paramount lien on every share (not being a fully paid share) for all moneys (whether presently payable or not) called or payable at a fixed time in respect of that share and the Company shall also have a first and paramount lien on all shares (other than fully paid shares) standing registered in the name of each shareholder for all moneys presently payable by him or his estate to the Company but the directors may at any time declare any share to be wholly or in part exempt from the provisions of this regulation. The Company's lien if any on a share shall extend to all dividends payable thereon.

5. The Company may sell in such manner as the directors think fit any shares on which the Company has a lien but no sale shall be made unless a sum in respect of which the lien exists is presently payable nor until the expiration of fourteen days after a notice in writing stating and demanding payment of such part of the amount in respect of which the lien exists as is presently payable has been given to the registered holder for the time being of the share or the person entitled thereto by reason of his death or bankruptcy.

6. To give effect to any such sale the directors may authorise some person to execute a transfer of the shares sold to the purchaser thereof. The purchaser shall be registered as the holder of the shares comprised in any such transfer and he shall not be bound to see to the application of the purchase money nor shall his title to the shares be affected by any irregularity or invalidity in the proceedings in reference to the sale.

7. The proceeds of the sale shall be received by the Company and applied in payment of such part of the amount in respect of which the lien exists as is presently payable and the residue if any shall (subject to a like lien for sums not presently payable as existed upon the shares before the sale) be paid to the person entitled to the shares at the date of the sale.

CALLS ON SHARES

8. The directors may from time to time make calls upon the shareholders in respect of any moneys unpaid on their shares (whether on account of the nominal value of the shares or by way of premium) and not by the conditions of allotment thereof made payable at fixed times provided that no call shall exceed one-fourth of the nominal value of the share and each shareholder shall (subject to receiving at least fourteen days' notice specifying the time or times and place of payment) pay to the Company at the time or times and place so specified the amount called on his shares. A call may be revoked or postponed as the directors may determine.

9. A call shall be deemed to have been made at the time when the resolution of the directors authorising the call was passed and may be required to be paid by instalments.

10. The joint holders of a share shall be jointly and severally liable to pay all calls in respect thereof.

1ST SCH.
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11. If a sum called in respect of a share is not paid before or on the day appointed for payment thereof the person from whom the sum is due shall pay interest on the sum from the day appointed for payment thereof to the time of actual payment at such rate not exceeding 10 per centum per annum as the directors may determine but the directors shall be at liberty to waive payment of such interest wholly or in part.

12. Any sum which by the terms of issue of a share becomes payable on allotment or at any fixed date whether on account of the nominal value of the share or by way of premium shall for all the purposes of these regulations be deemed to be a call duly made and payable on the date on which by the terms of issue the same becomes payable and in the case of non-payment all the relevant provisions of these regulations as to payment of interest forfeiture or otherwise shall apply as if such sum had become payable by virtue of a call duly made and notified.

13. The directors may on the issue of shares differentiate between the holders as to the amount of calls to be paid and the times of payment.

14. The directors may if they think fit receive from any shareholder willing to advance the same all or any part of the moneys uncalled and unpaid on any shares held by him and upon all or any of the moneys so advanced may (until the same would but for such advance become payable) pay interest at such rate not exceeding (unless the Company in general meeting shall otherwise direct) 5 per centum per annum as may be agreed upon between the directors and the shareholder paying such sum in advance.

15. Forthwith after the day appointed for the payment of a call the amount of the unpaid call made on a shareholder and interest thereon shall be a debt due by such shareholder to the Company and may be recovered from such shareholder in any court of competent jurisdiction.

16. In any proceedings against a shareholder for recovery of the amount of an unpaid call made on him and interest thereon the production of the register of shareholders or of an extract therefrom certified by the secretary shall be prima facie evidence of such shareholder being a shareholder and of the number and class of shares held by him and of the amount unpaid thereon and it shall be sufficient to prove that the resolution making the call is duly recorded in the minute book of the proceedings of the directors and that notice of such call was duly given to such shareholder.

FORFEITURE OF SHARES

17. If a shareholder fails to pay any call or instalment of a call on the day appointed for payment thereof the directors may at any time thereafter during such time as any part of the call or instalment remains unpaid serve a notice on him requiring payment of so much of the call or instalment as is unpaid together with any interest which may have accrued.

18. The notice shall name a further day (not earlier than the expiration of fourteen days from the date of service of the notice)

on or before which the payment required by the notice is to be made and shall state that in the event of non-payment at or before the time appointed the shares in respect of which the call was made will be liable to be forfeited.

1ST SCH.
—cont.

19. If the requirements of any such notice as aforesaid are not complied with any share in respect of which the notice has been given may at any time thereafter before the payment required by the notice has been made be forfeited by a resolution of the directors to that effect.

20. A forfeited share may be sold or otherwise disposed of on such terms and in such manner as the directors think fit and at any time before a sale or disposition the forfeiture may be cancelled on such terms as the directors think fit.

21. A person whose shares have been forfeited shall cease to be a shareholder in respect of the forfeited shares but shall notwithstanding remain liable to pay to the Company all moneys which at the date of forfeiture were payable by him to the Company in respect of the shares but his liability shall cease if and when the Company shall have received payment in full of all such moneys in respect of the shares.

22. A statutory declaration in writing that the declarant is a director or the secretary of the Company and that a share in the Company has been duly forfeited on a date stated in the declaration shall be conclusive evidence of the facts therein stated as against all persons claiming to be entitled to the share. The Company may receive the consideration if any given for the share on any sale or disposition thereof and may authorise some person to execute a transfer of the share in favour of the person to whom the share is sold or disposed of and he shall thereupon be registered as the holder of the share and shall not be bound to see to the application of the purchase money if any nor shall his title to the share be affected by any irregularity or invalidity in the proceedings in reference to the forfeiture sale or disposal of the share.

23. The provisions of these regulations as to forfeiture shall apply in the case of non-payment of any sum which by the terms of issue of a share becomes payable on allotment or at any fixed date whether on account of the nominal value of the share or by way of premium as if the same had been payable by virtue of a call duly made and notified.

TRANSFER OF SHARES

24.—(1) Subject to the provisions of the Act and these regulations a shareholder may sell or transfer all or any of his shares either for an onerous consideration or gratuitously.

(2) It shall not be lawful to sell or transfer a fractional part of a share except to the Company.

25. A transfer of shares shall be in writing duly stamped in which the consideration shall be truly stated and such writing shall be in any usual or common form or in any other form which the directors may approve and shall be signed by or on behalf of both the transferor and the transferee each in the presence of one witness.

1ST SCH.
—cont.

26. The Company shall provide a book to be called the "transfer book" and all transfers of shares shall be registered by being entered in such book.

27.—(1) A transfer of shares duly stamped and executed shall be presented at the principal office for registration accompanied by the certificate of the shares to be transferred and such other evidence as may be required by the directors to prove the title of the transferor or his right to transfer such shares. On such transfer certificate and evidence being presented and on payment of such fee not exceeding two shillings and sixpence as the directors may from time to time appoint the secretary shall subject to the provisions of these regulations enter in the register of shareholders the name and address of the transferee as the holder of such shares and a certificate shall be issued to such transferee. When registered the transfer shall be retained by the Company unless the directors otherwise determine.

(2) Until such transfer has been so presented and until the name of the transferee has been entered in the register of shareholders the transferor shall be deemed to remain the holder of the share.

28. A shareholder shall not be entitled to transfer any share after any call has been made in respect thereof until he has paid such call or until he has paid all calls for the time being due on any share held by him.

29. The directors may if they think fit and without reason assigned decline to register a transfer of shares upon which the Company has a lien or a transfer of shares not fully paid up in favour of a person of whom they do not approve.

30. If the directors refuse to register a transfer they shall within two months after the date on which the transfer was lodged with the Company send to the transferee notice of the refusal.

31. The transfer book may be closed for such periods not exceeding in the whole forty days in any one year and at such times as the directors may from time to time appoint and a transfer made during the period when the transfer book is closed shall as between the Company and the person claiming under such transfer but not otherwise be deemed to have been made subsequently to such period.

32. Nothing herein contained shall preclude the directors from recognising a renunciation of the allotment of any share by the allottee in favour of some other person.

TRANSMISSION OF SHARES

33. In case of the death of a shareholder the survivor or survivors where the deceased was a joint holder and the legal personal representatives of the deceased where he was a sole holder shall be the only persons recognised by the Company as having any title to his interest in the shares but nothing herein contained shall release the estate of a deceased joint holder from any liability in respect of any share which had been jointly held by him with other persons.

34. Any person becoming entitled to a share in consequence of the death or bankruptcy of a shareholder may upon such evidence being produced as may from time to time properly be required

by the directors and subject as hereinafter provided elect either to be registered himself as holder of the share or to have some person nominated by him registered as the transferee thereof but the directors shall in either case have the same right to decline or suspend registration as they would have had in the case of a transfer of the share by that shareholder before his death or bankruptcy as the case may be.

1ST SCH.
—cont.

35. If the person so becoming entitled shall elect to be registered himself he shall deliver or send to the Company a notice in writing stating that he so elects. If he shall elect to have another person registered he shall testify his election by executing a transfer of the share in favour of that person. All the limitations restrictions and provisions of these regulations relating to the right to transfer and the registration of transfers of shares shall be applicable to any such notice or transfer as aforesaid as if the death or bankruptcy of the shareholder had not occurred and the notice or transfer were a transfer signed by that shareholder.

36. A person becoming entitled to a share by reason of the death or bankruptcy of the holder shall be entitled to receive and may give a discharge for all dividends and other moneys to which he would be entitled if he were the registered holder of the share but he shall not before being registered as a shareholder in respect of the share be entitled in respect of it to exercise any right conferred by shareholdership in relation to meetings of the Company:

Provided always that the directors may at any time give notice requiring any such person to elect either to be registered himself or to transfer the share and if the notice is not complied with within ninety days from the date thereof the directors may thereafter withhold payment of all dividends bonuses or other moneys payable in respect of the share until the requirements of the notice have been complied with:

Provided further that if such notice is not complied with within a period of two years from the date thereof the directors may at any time after the lapse of such period sell the share to which the notice relates for such price and to such person as they think fit and shall account for and pay to the person entitled to the share by transmission any balance of the moneys produced by such sale which may remain after payment of all expenses of and incidental to such sale. To give effect to any such sale the directors may authorise some person to execute a transfer of the shares sold in favour of the purchaser thereof. The purchaser shall be registered as the holder of the shares comprised in any such transfer and he shall not be bound to see to the application of the purchase money nor shall his title to the shares be affected by any irregularity or invalidity in the proceedings in reference to the sale.

37.—(1) If a share or interest of a shareholder be arrested or attached in the hands of the Company such shareholder shall be obliged to loose the arrestment or attachment within six months after being required so to do by letter from the secretary.

(2) If a share or interest of a deceased shareholder be attached by the diligence of confirmation qua creditor the legal representatives of such shareholder shall be obliged to purge the same within six months after being required so to do by letter from the secretary.

1ST SCH.
—cont.

(3) In the event of the foregoing provisions of this regulation not being complied with the directors may at any time after the lapse of such period of six months sell such share for such price and to such person as they think fit and shall account for and pay to the person entitled thereto any balance of the moneys produced by such sale which may remain after payment of all expenses of and incidental to such sale. To give effect to any such sale the directors may authorise some person to execute a transfer of the shares sold in favour of the purchaser thereof. The purchaser shall be registered as the holder of the shares comprised in any such transfer and he shall not be bound to see to the application of the purchase money nor shall his title to the shares be affected by any irregularity or invalidity in the proceedings in reference to the sale.

GENERAL MEETINGS

38. The Company shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year and shall specify the meeting as such in the notices calling it and not more than fifteen months shall elapse between the date of one annual general meeting of the Company and that of the next. The annual general meeting shall be held at such time and place as the directors shall appoint. ~~All general meetings other than annual general meetings shall be called extraordinary general meetings.~~

39.—(1) The directors may whenever they think fit call an extraordinary general meeting.

(2) Any ten or more shareholders duly qualified to vote and holding in the aggregate at least one-thirtieth of the paid-up capital of the Company each of whom shall have been a shareholder of the Company for at least twelve months or any six directors may by requisition in writing signed by them and deposited at the principal office require the directors to call an extraordinary general meeting to be convened within twenty-one days after the deposit of such requisition and such requisition shall specify the particular business for which such extraordinary general meeting is to be called and the directors shall not be bound to call such extraordinary general meeting unless this provision is strictly and fully complied with.

(3) In the event of the directors refusing or neglecting to call an extraordinary general meeting when required to do so by requisition in manner hereinbefore provided then the requisitionists may call such extraordinary general meeting but any extraordinary general meeting so called shall not be held after the expiration of three months from the date of the deposit of such requisition. A meeting so called shall be called in the same manner as nearly as possible as that in which meetings are to be called by directors.

(4) An extraordinary general meeting shall not proceed to any business other than the business for which such extraordinary general meeting shall have been called.

NOTICE OF GENERAL MEETINGS

40. An annual general meeting and a meeting called for the passing of a special resolution shall be called by twenty-one days' notice in writing at the least and a meeting of the Company other than an annual general meeting or a meeting for the passing of a special

resolution shall be called by fourteen days' notice in writing at the least. The notice shall be exclusive of the day on which it is served or deemed to be served and of the day for which it is given and shall specify the place the day and the hour of meeting and in case of special business the general nature of that business and shall be given in manner hereinafter mentioned or in such other manner if any as may be prescribed by the Company in general meeting to all shareholders (other than those who under the provisions of these regulations or the conditions of the issue of the shares held by them are not entitled to receive the notice).

41. The accidental omission to give notice of a meeting to or the non-receipt of notice of a meeting by any person entitled to receive notice shall not invalidate the proceedings at the meeting.

PROCEEDINGS AT GENERAL MEETINGS

42. All business shall be deemed special that is transacted at an extraordinary general meeting and also all that is transacted at an annual general meeting with the exception of approving the division of profits among the shareholders approving the setting aside of profits to reserve the consideration of the accounts balance sheets and the reports of the directors and auditor the election of directors in the place of those retiring and the appointment of and the fixing of the remuneration of the auditor.

43. The chairman (if any) of the board of directors shall preside as chairman at every general meeting of the Company or if there is no such chairman or if he shall not be present within fifteen minutes after the time appointed for the holding of the meeting or is unwilling to act the directors present shall elect one of their number to be chairman of the meeting.

44. If at any meeting no director is willing to act as chairman or if no director is present within fifteen minutes after the time appointed for holding the meeting the shareholders present shall choose one of their number to be chairman of the meeting.

45.—(1) Save as herein otherwise provided to constitute a quorum at a general meeting there shall be present in person at least ten shareholders.

(2) If within half an hour after the time appointed for the holding of a general meeting a quorum is not present the meeting if called by requisitionists shall be dissolved but if called by the directors (with or without requisition) shall stand adjourned to such other day and such time and place as shall be fixed by the directors.

(3) If at such adjourned general meeting a quorum is not present within half an hour from the time appointed for the meeting the shareholders present shall be a quorum.

46.—(1) The chairman of a general meeting may with the consent of the meeting adjourn the same from time to time and from place to place.

(2) It shall not be necessary to give notice of an adjournment of a general meeting and an adjourned general meeting shall be deemed to be a prolongation of such general meeting.

1ST SCH.
—cont.

(3) At an adjourned general meeting the chairman of the general meeting from which such adjournment took place if present and willing to act shall continue in the chair but if not present or if not willing to act a new chairman shall be elected or chosen in accordance with the provisions of these regulations.

(4) An adjourned general meeting shall not proceed to any business other than the business left unfinished at the general meeting from which such adjournment took place.

VOTES OF SHAREHOLDERS

47.—(1) Subject to any rights or restrictions for the time being attached to any class or classes of shares at all general meetings of the Company every shareholder not otherwise disqualified from voting shall (a) on a show of hands have one vote and (b) on a poll be entitled to one vote for each ten shillings of the paid-up capital of the Company held by him.

(2) In the case of joint holders the vote of the senior who tenders a vote whether in person or by proxy shall be accepted to the exclusion of the votes of the other joint holders and for this purpose seniority shall be determined by the order in which the names stand in the register of shareholders.

(3) No shareholder shall be entitled to attend or vote at a general meeting whilst a call or other sum of money shall be due and payable to the Company in respect of a share held by him.

(4) In the event of a shareholder becoming bankrupt or notour bankrupt he shall not until reponed be entitled to attend or vote at a general meeting.

(5) Any shareholder being lunatic or of unsound mind may vote by his committee judicial factor curator bonis or other legal guardian and every such vote may be given either in person or by proxy.

48. No objection shall be raised to the qualification of any voter except at the meeting or adjourned meeting at which the vote objected to is given or tendered and every vote not disallowed at such meeting shall be valid for all purposes. Any such objection made in due time shall be referred to the chairman of the meeting whose decision shall be final and conclusive.

49. At a general meeting a shareholder qualified to vote may on a poll vote either personally or by a proxy and the vote of such proxy shall be received in the same manner as if the shareholder nominating such proxy were personally present and voted. A proxy need not be a shareholder of the Company.

50. On a poll a shareholder entitled to more than one vote need not if he votes use all his votes or cast all the votes he uses in the same way.

51. The writing appointing a proxy may be in any usual or common form or in any other form which the directors may approve.

52. The directors may if they think fit at the cost of the Company issue for use by the shareholders forms for the appointment of proxies and may if they think fit insert therein the names of any of the directors.

53.—(1) The writing appointing a proxy need not be holograph or tested but shall be under the hand of the shareholder appointing such proxy or of his attorney duly authorised in writing or if the shareholder appointing such proxy be a corporation then under seal or under the hand of an officer or attorney duly authorised.

(2) No person shall be entitled to vote as a proxy unless the writing appointing such proxy and the power of attorney or other authority (if any) under which it is signed or a notarially certified copy of such power of attorney or other authority shall have been deposited at the principal office at least forty-eight hours before the time fixed for the holding of the general meeting or adjourned general meeting as the case may be at which such writing is to be used.

(3) If a writing appoint a proxy for more than one general meeting such writing shall remain at the principal office unless recalled and may be acted upon without any fresh transmission.

(4) A vote given in accordance with the terms of a writing appointing a proxy shall be valid notwithstanding the previous death or insanity of the shareholder appointing the proxy or revocation of the writing appointing the proxy or of the authority under which such writing was executed or the transfer of the share in respect of which such vote is given provided no intimation in writing of the death or insanity revocation or transfer authenticated to the satisfaction of the directors shall have been received at the principal office before the commencement of the general meeting or adjourned general meeting at which such vote is given.

(5) A writing appointing a proxy shall not be deemed to confer a right to speak at any meeting.

(6) A writing appointing a proxy shall be deemed to confer authority to demand or join in demanding a poll.

54.—(1) At a general meeting a resolution shall in the first instance be decided by a show of hands. On a show of hands each shareholder present in person and qualified to vote shall have one vote only and proxies shall not be counted.

(2) Unless a poll is before or on the declaration of the result of the show of hands demanded by the chairman or by at least five shareholders present in person or by proxy and qualified to vote a declaration by the chairman that a resolution has on a show of hands been carried or carried by a particular majority or lost and an entry to that effect in the minutes of proceedings of the Company shall be deemed to be sufficient evidence of the fact without proof of the number or proportion of the votes recorded in favour of or against such resolution. A demand for a poll may be withdrawn.

(3) Subject as next hereinafter provided a poll shall be taken in such manner and either immediately or at such time within seven days after the demand of the poll and at such place as the chairman shall direct and the result of such poll shall be deemed to be the resolution of the general meeting at which the poll was demanded.

1ST SCH.
—cont.

(4) A poll duly demanded on the election of a chairman or on any question of adjournment shall be taken forthwith.

(5) The demand for a poll shall not prevent the continuance of a general meeting for the transaction of any business other than the question on which a poll is demanded.

55. In the case of an equality of votes whether on a show of hands or on a poll the chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

CORPORATIONS ACTING BY REPRESENTATIVES AT MEETINGS

56. Any corporation which is a shareholder of the Company may by resolution of its directors or other governing body authorise such person as it thinks fit to act as its representative at any meeting of the Company or of any class of shareholders of the Company and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if it were an individual shareholder of the Company.

DIRECTORS

57.—(1) The number of the directors of the Company shall be not less than eight nor more than twenty.

(2) The qualification of a director shall be the holding in his own right of two hundred pounds of the paid-up capital of the Company.

58. The remuneration of the directors shall be fixed from time to time by resolution of the Company in general meeting and the amount of such remuneration shall be apportioned by the directors among themselves as from time to time they shall resolve.

59. If a director be called upon to perform extra services of any kind for any of the purposes of the Company the directors may give to such director such extra remuneration as they think fit. A director may also be paid all travelling hotel and other expenses properly incurred by him in attending and returning from meetings of the directors or any committees of the directors or general meetings of the Company or in connection with any business of the Company.

POWERS AND DUTIES OF DIRECTORS

60.—(1) The management of the affairs of the Company shall be vested in the directors who in addition to the powers and authorities by the Act and these regulations or by any existing or future public or private Act of Parliament expressly conferred upon them may exercise all powers and do all acts and things which may be exercised or done by the Company and are not by the Act or these regulations expressly directed or required to be exercised or done by the Company in general meeting but subject nevertheless to such regulations (not being inconsistent with the provisions of the Act or these regulations) as may be prescribed by the Company in general meeting but no regulation made by the Company in general meeting shall invalidate any prior act of the directors which would have been valid if that regulation had not been passed. In particular

the directors shall have power (subject to the provisions of the Act) from time to time to frame alter and revoke byelaws and regulations for the Company and for the regulation of their own proceedings including power to alter and revoke any such byelaws and regulations in force at the passing of the Act.

1ST SCH.
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(2) Without prejudice to the powers conferred by or referred to in the foregoing provisions of this regulation the directors shall have the following powers (that is to say):—

- (a) to employ and appoint and remove such person or persons as they think fit to act as general manager assistant general manager joint managers or assistant manager or assistant managers life managers fire managers accident managers marine underwriters secretaries actuaries and other officers physicians surgeons solicitors agents local auditors accountants bankers brokers clerks servants and other persons for the management and carrying on of the business of the Company in the United Kingdom or in any other part of the world as the directors think fit and to determine the duties of all such employees and to allow and pay to all such employees such salaries commissions charges wages or other remuneration and to give to all such employees such gratuities for extraordinary services as the directors think fit and to require such security for the due and faithful discharge and performance by such employees of the duties of their respective offices as the directors think fit and to establish or carry on or contribute to staff insurance and benevolent schemes and to contribute to sport or recreation funds formed in the interests of such employees subject to such rules and regulations from time to time as the directors think fit and to grant such allowances or pensions to any of such employees or their dependants as the directors think fit ;
- (b) to revive or continue on such terms and conditions as they think fit any policy that may have become void or that may be in danger of becoming void and that either for the whole or for a reduced amount and for the whole or for a limited period and to accept the application of any person interested in such policy that any unpaid premium or premiums together with compound interest thereon at a rate to be fixed by the directors be created a charge on the policy which will be deducted by the Company from the sum payable by them on the policy falling due ;
- (c) to redeem any annuity or allow the surrender of the life policy of any person assured or the endowment of any person endowed at such value or on such terms as they think fit ;
- (d) to purchase any annuity or the life policy of any person assured or the endowment of any person endowed at such value or on such terms as they think fit ;
- (e) to determine on the occasion of any investigation into the affairs of the Company in accordance with section 32 of the Act the principles to be adopted in the valuation of the

1ST SCH.
—cont.

liabilities of the Company and to declare from time to time the manner in which any profits distributed in pursuance of section 40 of the Act shall be allocated to the participating policy holders and to authorise the amount of any intermediate distribution of profits to such policy holders and to pay such profits or intermediate profits as they shall become due ;

- (f) to settle all claims at such times and in such manner as they think fit ;
- (g) to accept from any shareholder a surrender of his shares on such terms and conditions as may be agreed and any shares so surrendered shall be the property of the Company and the directors may sell such shares at such times for such prices and to such persons as they think fit.

61. The directors may exercise all the powers of the Company to borrow money and to mortgage or charge its undertaking property and uncalled capital or any part thereof and to issue debentures debenture stock and other securities whether outright or as security for any debt liability or obligation of the Company or of any third party or for any other purpose of the Company:

Provided that the amount for the time being remaining undischarged of moneys borrowed or secured by the directors as aforesaid (apart from temporary loans obtained from the Company's bankers in the ordinary course of business) shall not at any time without the previous sanction of the Company in general meeting exceed twice the amount of the share capital of the Company for the time being issued but nevertheless no lender or other person dealing with the Company shall be concerned to see or inquire whether this limit is observed. No debt incurred or security given in excess of such limit shall be invalid or ineffectual except in the case of express notice to the lender or the recipient of the security at the time when the debt was incurred or security given that the limit hereby imposed had been or was thereby exceeded.

62. A director may hold any other office or place of profit under the Company (except the office of auditor) in conjunction with the office of director and that on such terms as to remuneration and otherwise as the directors think fit and may act in a professional capacity to the Company.

63. A director may be or become and continue to be a member director or other officer of or otherwise interested in any company promoted by the Company or in which the Company may be interested as vendor shareholder or otherwise and such director shall not be accountable for any benefits received by him as a member director or other officer of or from his interest in such other company unless the directors otherwise decide.

64.—(1) A director shall not be disqualified by his office as director from entering into or being interested in any contract or arrangement with the Company either as vendor purchaser or otherwise nor shall any such contract or arrangement be avoided by reason thereof nor shall a director so contracting or being so interested be liable to account to the Company for any profit realised by any such contract

or arrangement by reason of such director holding that office or of the fiduciary relation thereby established. Provided that the nature of the interest of a director so contracting or being so interested shall be disclosed by him at the meeting of the directors at which the question of entering into the contract or arrangement is first taken into consideration if his interest then exists or in any other case at the first meeting of the directors after the acquisition of his interest. Provided further that a director shall not as such be entitled to vote in respect of such contract or arrangement but this prohibition shall not apply to—

- (a) any contract or arrangement by or on behalf of the Company to give to the directors or any of them any security by way of indemnity;
 - (b) any contract or arrangement by a director to subscribe for guarantee or underwrite shares debentures debenture stock or other obligations of the Company or of any other company which the Company may promote or be interested in; or
 - (c) any contract or dealing with a corporation where a sole interest of a director is that he is a director or other officer member or creditor of such corporation;
- and the prohibition may at any time be suspended or relaxed to any extent and in respect of any particular contract or arrangement by the Company in general meeting.

(2) A general notice in writing to the directors that a director is a director officer member or creditor of a specified firm or company and is to be regarded as interested in all transactions with such firm or company shall be deemed to be sufficient disclosure for the purposes of this regulation and after such general notice it shall not be necessary for such director to give a special notice of his interest in any particular transaction with such firm or company.

(3) Where a director is directly or indirectly interested in any insurance contract which shall in the ordinary course of business be effected through the manager or secretary or other proper officer of the Company disclosure to the manager or secretary or other officer that such director is so interested shall be deemed to be sufficient disclosure for the purpose of this regulation and the manager or secretary or other officer may deal with any such contract as regards terms premium or otherwise as freely as he could if such director were not so interested.

LOCAL BOARDS AND LOCAL DIRECTORS

65.—(1) The directors may from time to time appoint any number of persons to be local boards or local directors for the Company in any territory district or place whether in the United Kingdom or elsewhere for the purpose of carrying on the business of the Company thereat.

(2) The directors may confer on a local board or on a local director any powers vested in the directors (except the powers to issue shares to make calls to issue debentures debenture stock or other obligations or to mortgage or charge any property of the Company) to be exercised within the territory district or place for which such local board or local director is appointed.

1ST SCH.
—cont.

(3) The directors may pay to the members of a local board or to local directors such remuneration as the directors think fit.

(4) The directors may from time to time make regulations for the guidance and government of local boards and local directors.

(5) The directors may fill any vacancy on a local board.

(6) The directors may at any time remove any member of a local board or any local director and may appoint another person in his stead and may at any time dissolve a local board for any cause whatsoever and appoint another local board in its stead.

(7) The directors may authorise a local board or a local director to delegate all or any of the powers vested in such local board or local director.

(8) It shall not be necessary for any member of a local board or any local director to hold any paid-up capital of the Company as such member or local director. Provided that the directors may from time to time by resolution require a certain amount of paid-up capital of the Company to be held by each member of any particular local board or by any local director and may alter modify or rescind any such resolution.

POWERS OF ATTORNEY

66.—(1) The directors may from time to time by power of attorney appoint any persons to be the attorney or attorneys of the Company for such purposes and with such powers authorities and discretions and for such period and subject to such conditions as the directors think fit and any such appointment may if the directors think fit be made in favour of members of a local board or local directors or an agent appointed by the directors or in favour of any company or firm or in favour of the members directors nominees or managers of any company or firm or in favour of any fluctuating body of persons whether nominated directly or indirectly by the directors or in favour of the holder for the time being of any office and any such power of attorney may contain such powers for the protection or convenience of persons dealing with such attorneys as the directors think fit.

(2) The directors may authorise attorneys appointed by them to delegate all or any of the powers vested in such attorneys.

67. The directors may make sign or execute or authorise any one or more of the directors or the manager or secretary to make sign and execute powers of attorney enabling any person or persons jointly or severally to do every or any act matter or thing which the directors themselves could do.

DISQUALIFICATION OF DIRECTORS

68. The office of a director shall be vacated if the director—

- (a) becomes bankrupt or makes any composition with his creditors generally; or
- (b) becomes of unsound mind; or
- (c) resigns his office by notice in writing to the Company; or
- (d) ceases to hold his qualification.

ROTATION OF DIRECTORS

1ST SCH.
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69.—(1) Two directors shall retire at every annual general meeting.

(2) The directors to retire in every year shall be those who have been longest in office since their last election but as between persons who became directors on the same day those to retire shall (unless they otherwise agree among themselves) be determined by lot.

(3) A retiring director shall be eligible for re-election.

(4) The Company at the meeting at which a director retires in manner aforesaid may fill the vacated office by electing a duly qualified person thereto and in default the retiring director shall if offering himself for re-election be deemed to have been re-elected unless at such meeting it is expressly resolved not to fill such vacated office or unless a resolution for the re-election of such director shall have been put to the meeting and lost.

70. The directors shall have power at any time and from time to time to appoint any duly qualified person to be a director either to fill a casual vacancy or as an additional director but so that the total number of directors shall not at any time exceed the number fixed by these regulations. Any director so appointed shall hold office only until the next following annual general meeting and shall then be eligible for re-election but shall not be taken into account in determining the directors who are to retire by rotation at such meeting.

71. The Company may by special resolution remove any director before the expiration of his period of office notwithstanding anything in these regulations or in any agreement between the Company and such director but without prejudice to any claim for damages for breach of any such agreement.

72. The Company in general meeting may appoint another duly qualified person in place of a director removed from office under the immediately preceding regulation and without prejudice to the powers of the directors under regulation 70 the Company in general meeting may appoint any duly qualified person to be a director either to fill a casual vacancy or as an additional director. A person appointed in place of a director so removed or to fill such a vacancy shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he is appointed was last elected a director.

PROCEEDINGS OF DIRECTORS

73.—(1) Meetings of the directors shall be held at the principal office or at such other place as the directors may fix.

(2) The directors may meet together for the dispatch of business adjourn and otherwise regulate their meetings.

(3) Any two directors may at any time require the secretary to call a meeting of directors.

(4) It shall not be necessary to give notice of a meeting of directors to any director for the time being absent from the United Kingdom.

(5) Until otherwise determined by the directors a quorum for a meeting of directors shall be five.

1st SCH.
—cont.

(6) A meeting of the directors for the time being at which a quorum is present shall be competent to exercise all or any of the authorities powers and discretions by or under these regulations for the time being vested in or exercisable by the directors generally.

74. The election of a chairman of the directors and of a deputy chairman and their continuance in office shall be regulated by the directors.

75. The continuing directors may act notwithstanding any vacancy in their body but if and so long as their number is reduced below the minimum number fixed by these regulations the continuing directors may act for the purpose of increasing the number of directors to that number or of summoning a general meeting of the Company but for no other purpose.

76.—(1) The directors may delegate any of their powers to one or more committees consisting of such of their number as they shall think fit not being less than two and any committee so formed shall in the exercise of the powers so delegated conform to any regulations that may be imposed on it by the directors.

(2) Any committee may if they think fit appoint a chairman and may meet adjourn and otherwise regulate their proceedings as they may think proper.

(3) In the absence of any special instructions by the directors two members of a committee shall be a quorum.

77. All questions at meetings of directors or at meetings of a committee of directors shall be decided by a majority of votes of the directors present. Each director present shall have one vote and the chairman of the meeting in addition shall have a casting vote if there be an equality of votes.

78. All acts done by any meeting of the directors or of a committee of directors or of a local board or by any person acting as a director or as a member of a committee or local board or as a local director notwithstanding that it may be afterwards discovered that there was some defect in the appointment of any of such directors or members of committee or local board or person acting as a director or as a member of a committee or of a local board or as a local director or that they or any of them were or was not qualified or had vacated office shall be as valid as if every such person had been duly appointed and qualified.

MINUTES OF PROCEEDINGS

79.—(1) The directors shall cause minutes of proceedings of general meetings of meetings of classes of shareholders of meetings of directors of meetings of committees of directors and of meetings of local boards to be duly entered in books to be provided for the purpose and every entry shall be signed by the chairman of the meeting at which such proceedings take place or by the chairman of the next succeeding meeting at which the minutes are approved.

(2) Every such entry so signed shall be received as prima facie evidence in all courts and before all judges justices and others without proof of such respective meetings having been duly convened or

held or of the persons making or entering such proceedings being shareholders or directors or members of committees of directors or members of local boards respectively or of the signature of the chairman or of the fact of his having been chairman.

1ST SCH.
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SEAL

80. The directors shall provide for the safe custody of the common seal of the Company and may make regulations as to the precautions to be taken when the seal is to be affixed to any deed or other writing.

81.—(1) The Company may have for use in any territory district or place not situate in the United Kingdom an official seal which shall be a facsimile of the common seal of the Company with the addition on its face of the name of the territory district or place where it is to be used.

(2) The directors may by writing under the common seal of the Company authorise any person appointed for the purpose in any territory district or place not situate in the United Kingdom as their agent to affix such official seal to any deed or other writing to which the Company is party in that territory district or place.

(3) The authority of such agent shall as between the Company and any person dealing with such agent continue during the period mentioned in the writing conferring the authority or if no period is therein mentioned then until notice of the revocation or determination of the authority of such agent has been given in such manner as the directors may think fit.

(4) The agent affixing such official seal shall by writing under his hand on the deed or other writing to which such seal is affixed certify the place and date of affixing the same.

(5) A deed or other writing to which such official seal is duly affixed shall bind the Company as if it had been sealed with the common seal of the Company.

AUTHENTICATION OF DEEDS AND DOCUMENTS

82.—(1) All deeds and other writings shall be sufficiently authenticated by being signed by one director and by the manager or secretary or other officer of the Company authorised by the directors and shall be equally binding whether attested by witnesses or not and whether executed under the common seal of the Company or not :

Provided that the directors may from time to time delegate to any two of such officers of the Company authorised as aforesaid the power to sign deeds and other writings on behalf of the Company and any deeds or other writings so signed shall be equally binding as aforesaid.

(2) All deeds and other writings executed in any place not situate in the United Kingdom shall be sufficiently authenticated by being signed by such person or by such persons as may be duly authorised by the directors.

1ST SCH.
—cont.

(3) All policies dividend warrants notices and other writings requiring execution or authentication by the company shall be valid and effectual to all intents if signed by the manager or secretary or other officer or agent of the Company authorised by the directors.

(4) All cheques promissory notes drafts bills of exchange and other negotiable instruments and all receipts for money paid to the Company shall be signed drawn accepted endorsed or otherwise executed as the case may be in such manner as the directors shall from time to time determine.

ACCOUNTS

83. The directors shall cause proper books of account to be kept with respect to—

(a) all sums of money received and expended by the Company and the matters in respect of which the receipt and expenditure takes place; and

(b) the assets and liabilities of the Company.

Proper books shall not be deemed to be kept if there are not kept such books of account as are necessary to give a true and fair view of the state of the Company's affairs and to explain its transactions.

84. The books of account shall be kept at the principal office or at such other place or places as the directors think fit and shall always be open to the inspection of the directors.

85. The directors shall from time to time determine whether and to what extent and at what times and places and under what conditions or regulations the accounts and books of the Company or any of them shall be open to the inspection of shareholders not being directors and no shareholder (not being a director) shall have any right of inspecting any account or book or document of the Company except as conferred by statute or authorised by the directors or by the Company in general meeting or ordered by a court of competent jurisdiction.

86. The directors shall from time to time in accordance with sections 148 150 and 157 of the Companies Act 1948 (as applied to assurance companies) cause to be prepared and to be laid before the Company in general meeting such profit and loss accounts balance sheets group accounts (if any) and reports as are referred to in those sections.

87. A copy of every balance sheet (including every document required by law to be annexed thereto) which is to be laid before the Company in general meeting together with a copy of the auditor's report shall not less than twenty-one days before the date of the meeting be sent to every shareholder of and every holder of debentures of the Company and to every person who is entitled to receive notices from the Company in terms of these regulations. Provided that this regulation shall not require a copy of those documents to be sent to any person of whose address the Company is not aware or to more than one of the joint holders of any shares or debentures.

DIVIDENDS

1ST SCH.
—cont.

88.—(1) No dividend shall carry interest as against the Company.

(2) The directors may deduct from any dividend payable to any shareholder all sums of money (if any) presently payable by him to the Company on account of calls or otherwise in relation to the shares of the Company.

(3) The directors may retain any dividends payable on shares on which the Company has a lien and may apply the same in or towards satisfaction of the debts liabilities or engagements in respect of which the lien exists.

(4) Payment by the directors of any unclaimed dividends into a separate account shall not constitute the Company a trustee in respect thereof and any dividend unclaimed after a period of twenty years from the date of declaration of such dividend shall be forfeited and shall revert to the Company.

(5) Any dividend or other moneys payable on or in respect of a share may be paid by cheque or warrant sent through the post to the registered address of the shareholder or person entitled thereto or if two or more persons are registered as joint holders of the share or are entitled thereto in consequence of the death or bankruptcy of the holder to any one of such persons or to such person and at such address as such shareholder person or persons may by writing direct. Every such cheque or warrant shall be made payable to the order of the persons to whom it is sent or to such persons as the holder or joint holders or person or persons entitled to the share in consequence of the death or bankruptcy of the holder may direct and payment of the cheque or warrant if purporting to be endorsed shall be a good discharge to the Company. Every such cheque or warrant shall be sent at the risk of the person entitled to the money represented thereby.

(6) If a cheque or warrant be lost or destroyed then upon satisfactory evidence of its loss or destruction and upon such indemnity being given as the directors consider adequate the directors may issue a new warrant in lieu thereof.

(7) If several persons are registered as joint holders of any share or are entitled to a share in consequence of the death or bankruptcy of the holder any one of them may give effectual receipts for any dividend or other moneys payable on or in respect of the share.

NOTICES

89.—(1) In all cases in which it may be necessary for any person to serve a summons writ notice or other proceedings at law or otherwise upon the Company by citation notification or intimation in an action suit or process which may be raised or instituted against the Company service thereof either upon the secretary personally or by leaving the same at or by transmitting the same through the post in a prepaid letter to the principal office shall be deemed to be good service on the Company.

(2) Notice of assignments of policies granted by the Company and other notices not included in the immediately preceding provision of this regulation shall only be deemed to be effectually served

1ST SCH.
—cont.

upon the Company when deposited at the principal office or at such other office of the Company as the directors may from time to time appoint.

90.—(1) A notice may be served by the Company upon a shareholder whose place of address appears in the register of shareholders to be in the United Kingdom either personally or by sending it prepaid through the post addressed to such shareholder to that address.

(2) A notice may be served by the Company upon a policy holder either personally or by sending it prepaid through the post addressed to such policy holder at his last known address.

91.—(1) A shareholder whose registered place of address is not in the United Kingdom may from time to time intimate in writing to the Company some place of address in the United Kingdom to be his address for service and a notice may be served by the Company upon such shareholder by sending it prepaid through the post addressed to such shareholder at that address.

(2) Any such shareholder who has not intimated any such address for service shall not be entitled to receive any notice from the Company.

92. When two or more persons are registered as joint holders of a share a notice may be served by the Company upon the person whose name stands first in the register of shareholders as one of the holders of such share and such service shall be deemed to be sufficient service of such notice upon all the holders of such share.

93. An intimation in writing of every change of name or address of a shareholder shall be given by or on behalf of such shareholder to the Company at the principal office and in default thereof a notice may be served by the Company upon such shareholder by sending it prepaid through the post addressed to such shareholder at the registered address of such shareholder and such shareholder shall be deemed to have received such notice.

94. A notice delivered at or sent through the post to the registered address of a shareholder notwithstanding such shareholder be then deceased and whether or not the Company has notice of his decease shall be deemed to have been duly served in respect of a share whether held by such shareholder solely or jointly with other persons until some other person is registered in his stead as the holder or joint holder of such share and such service shall for all purposes be deemed to be a sufficient service of such notice on the legal representative of such shareholder and on any persons jointly interested with him in such share.

95. Every person who by the operation of law transfer or other means whatsoever shall become entitled to a share shall be bound by all notices in respect of such share which prior to his name being entered in the register of shareholders shall have been duly given to the person from whom he shall derive his title to such share.

96. A notice sent through the post shall be deemed to have been served on the day following that on which it is posted and in proving such service it shall be sufficient to prove that the notice was properly addressed and posted.

97. Notices summonses and other such documents may be in writing or print or partly in writing and partly in print.

1st SCH.
—cont.

98. The signature to a notice by or on behalf of the Company may be written or printed.

INDEMNITY

99. Every director managing director manager member of a local board or local director agent auditor secretary and other officer for the time being of the Company shall be indemnified out of the assets of the Company against any liability incurred by him as such in defending any proceedings whether civil or criminal in which judgment is given in his favour or in which he is acquitted.

SECOND SCHEDULE

CAPITAL RECONSTRUCTION SCHEME

1. The directors shall fix such day (hereinafter in this scheme referred to as "the appointed day") not being later than 31st December 1956 as they may think fit for the coming into operation of the provisions of paragraphs 2 3 and 4 of this scheme and so that such provisions shall thereupon become effective without any resolution of the Company or the directors.

2. On the appointed day—

(a) each of the then unissued "A" shares of £10 each shall be converted and subdivided into ten new ordinary shares of £1 each; and

(b) each of the then unissued "B" shares of £5 each shall be converted and subdivided into five new ordinary shares of £1 each.

3. On the appointed day—

(a) each of the then issued "A" shares of £10 each (upon which there has been called up and paid the sum of £1 per share) shall be converted and subdivided into—

(i) nine "A" shares of £1 each upon which there shall be deemed to have been called and paid up the sum of two shillings per share; and

(ii) one new ordinary share of £1 upon which there shall be deemed to have been called and paid up the sum of two shillings;

(b) there shall be paid up out of the reserve funds or such other funds of the Company representing undivided profits of the Company available for distribution as the directors may determine the sum of eighteen shillings per share in respect of each of the new ordinary shares mentioned in subparagraph 3 (a) (ii) hereof and the said new ordinary shares shall accordingly be paid up in full;

(c) there shall be issued to each of the holders of the said last-mentioned new ordinary shares one additional fully paid new ordinary share in respect of every ten of such new

2ND SCH.
—cont.

ordinary shares held by him and such part of the reserve funds or such other funds of the Company representing undivided profits of the Company available for distribution as the directors may determine shall be applied for the purpose of paying up in full the additional new ordinary shares so to be issued ;

- (d) the " A " shares resulting from the conversion and subdivision of the existing " A " shares referred to in subparagraph (a) of this paragraph shall be consolidated into " A " shares of £5 each (to be called " new ' A ' shares ") upon which there shall be deemed to have been called and paid up the sum of ten shillings per share.

4. On the appointed day—

- (a) there shall be paid up out of the reserve funds or out of such other funds of the Company representing undivided profits of the Company available for distribution as the directors may determine the sum of £1 5s. per share in respect of each of the then issued " B " shares of £5 each (being the amount of the uncalled liability on the said " B " shares) ;

- (b) each of the said " B " shares shall following the payment up of the uncalled liability in respect thereof be converted and subdivided into five new ordinary shares of £1 each fully paid ;

- (c) there shall be issued to each of the holders of the said last-mentioned new ordinary shares one additional fully paid new ordinary share in respect of every two of such new ordinary shares held by him and such part of the reserve funds or such other funds of the Company representing undivided profits of the Company available for distribution as the directors may determine shall be applied for the purpose of paying up in full the additional new ordinary shares so to be issued.

(5) (a) The directors shall as soon as reasonably may be after the appointed day call in the certificates of the " A " shares and the " B " shares outstanding at the appointed day and shall issue in exchange for those certificates to the respective holders thereof free of charge certificates for the new " A " shares and the new ordinary shares respectively for the respective amounts to which such shareholders are entitled in accordance with this scheme but no shareholder shall be entitled to a new certificate or certificates until he shall have delivered up to the Company to be cancelled the certificate or certificates for which such new certificate or certificates is or are to be substituted ;

(b) If any such outstanding certificate has been lost or destroyed the new certificate or certificates shall be issued upon such terms as to evidence of loss or destruction and indemnity as the directors may think sufficient.

6. Until the issue of such new certificates the outstanding certificates shall have effect as if they were certificates for the new " A " shares and the new ordinary shares for the respective amounts of

new "A" shares and new ordinary shares to which the holder of any outstanding certificate is entitled as aforesaid but if any holder of any of the "A" shares or of the "B" shares outstanding at the appointed day neglects or omits to send or deliver to the Company his certificates for the period of one year after notice in writing sent by registered letter to such holder at the address appearing in the register of shareholders the Company may suspend the payment of any dividend declared or made payable upon or in respect of the new "A" shares and the new ordinary shares to which such holder is entitled as aforesaid until such certificates are sent or delivered to the Company or are proved to the reasonable satisfaction of the directors to have been lost or destroyed and until such indemnity as the directors may think fit shall have been given.

7. All transfers or other dispositions of any of the "A" shares or of any of the "B" shares outstanding at the appointed day shall after the appointed day and notwithstanding the provisions thereof be valid and have due effect given to them respectively as transfers or dispositions of the amount of new "A" shares and new ordinary shares which are substituted or issued under this scheme for the "A" shares or for the "B" shares outstanding at the appointed day thereby expressed to be transferred or disposed of although the instrument transferring or disposing of such shares shall describe the same by the name or denomination which the shares transferred or disposed of had before the appointed day and the bequest of or any covenant or provision in any will deed or agreement (whether executed before or after the appointed day) relating to any of the "A" shares or of the "B" shares outstanding at the appointed day shall be held to apply to the appropriate nominal amount of new "A" shares and new ordinary shares substituted or issued in respect of the said outstanding "A" shares or the said outstanding "B" shares under this scheme.

8. (a) Where upon the consolidation of "A" shares of £1 each any shareholder becomes entitled to a fractional part of a new "A" share of £5 he shall be bound forthwith to dispose of the same and all such fractional parts shall by virtue of this scheme forthwith vest in the manager and secretary of the Company who shall as soon as may be convenient sell the new "A" shares representing all such fractional parts in the open market and shall distribute the net proceeds of such sale pro rata among the shareholders entitled to such fractional parts.

(b) Where under the provisions of this scheme any of the shareholders would be entitled to any fractional part of a new ordinary share such number of new ordinary shares as shall be equivalent to the aggregate of such fractional parts shall be issued credited as fully paid up to the manager and secretary of the Company as trustees for the said shareholders and the manager and secretary shall as soon as may be convenient sell the said shares in the open market and shall distribute the net proceeds of such sale pro rata among the shareholders entitled to such fractional parts.

Table of Statutes referred to in this Act

Short title	Session and chapter
Companies Clauses Consolidation (Scotland) Act 1845	8 & 9 Vict. c. 17.
Scottish Union and National Insurance Company's Act 1878	41 & 42 Vict. c. liii.
Scottish Union and National Insurance Company's Act 1886	49 & 50 Vict. c. vi.
Stamp Act 1891	54 & 55 Vict. c. 39.
Scottish Union and National Insurance Company's Act 1892	55 & 56 Vict. c. xvii.
Scottish Union and National Insurance Company's Act 1906	6 Edw. 7 c. lxxvii.
Scottish Union and National Insurance Company's Act 1939	2 & 3 Geo. 6 c. xxx.
Companies Act 1948	11 & 12 Geo. 6 c. 38.

PRINTED BY JOHN ROUGHTON SIMPSON, C.B.

Controller of Her Majesty's Stationery Office and Queen's Printer of Acts of Parliament

LONDON: PUBLISHED BY HER MAJESTY'S STATIONERY OFFICE

Price 2s. 6d. net

PRINTED IN GREAT BRITAIN

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